REAL FINANCIAL EDUCATION SERIES · GUIDE 1 OF 3

# MONKEY MONEY

Investing guide for beginners — told by me, Momo


Everything you need to know to start from zero

**BEGINNER LEVEL**

# Hi, I'm Momo

I wear headphones so I don't hear the noise of financial news, I carry my backpack because that's where I keep my emergency cushion, and I never leave home without my piggy bank. I wasn't born knowing about money — nobody is. I learned this through questions, tiny mistakes, and a lot of curiosity. And now I want to tell you about it, exactly the way I wish someone had explained it to me when I started.

This guide is for anyone who has never invested, or who feels like "this money stuff" is a language nobody taught them in school (me neither, and look at me now). You don't need to know anything beforehand. We'll go chapter by chapter, with examples straight from my own backpack, my piggy bank, and my coins. At the end of each chapter I'll leave you a summary and one action you can take today, not "someday."

### WHAT WE'LL COVER TOGETHER



> **Momo says:**
> *You don't need to be the smartest monkey in the jungle to invest well. You need a simple plan and the discipline to follow it. That's literally this entire book.*

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CHAPTER ONE

## What is investing?

Before you put a single coin into anything, let's get clear on what investing actually means. It's not betting everything on one card. It's not guessing. It's something much simpler than it sounds.

Investing means giving your money a job, instead of letting it sleep. I have a pink piggy bank I use to keep coins, but those coins in there don't do anything at all: they just wait. If instead I put that money to "work" in something that produces more money over time, it stops being a pile of still coins and becomes a tool that grows while I hang from a tree taking a nap.

### Keeping, saving, and investing are not the same thing

| Action | What your money does | Typical result |
|---|---|---|
| Keeping (my piggy bank) | Nothing. It sits still, waiting. | Loses value to inflation |
| Saving (bank account) | The bank pays a minimal interest. | Grows very little, sometimes doesn't even beat inflation |
| Investing | Your money works inside productive assets. | Can grow significantly over time |

My piggy bank is for short-term goals or for having something "on hand." Investing is a different league.

### Why doesn't almost anyone in the troop invest?

- They think you need a giant banana of money to start (false).
- They believe it's only for "expert monkeys" in ties (false).
- They're afraid of losing the little they have (understandable, but manageable).
- Nobody ever explained it to them simply (that's why this guide exists).
- They saw a cousin lose money and assumed that always happens (confusing risk with guaranteed loss).

None of these reasons hold up to a second look. They're ideas in your head, not rules of real money.

### What I carry in my backpack: assets

An asset is anything that has value and can generate more value over time. When you invest, you buy assets. You don't get rich by piling up loose coins, but by piling up things that produce coins on their own.

- **Stocks:** a little slice of a company, like owning a slice of a giant banana.
- **Bonds:** you lend money to a company or government and they pay you back with interest.
- **Real estate:** physical properties, like a tree with good shade.
- **Funds:** a basket with many assets inside, spreading out the risk.
- **Cash and equivalents:** money in liquid accounts, ready to use quickly.

What investing is **NOT**: it's not getting rich overnight (those are traps), it's not gambling at random, it's not only for monkeys with more bananas, and it's not 100% automatic from day one — at first you have to learn, then it does become almost autopilot.

**TODAY'S ACTION**

If you can save even 5% of what you earn each month, you already have material to start investing. The amount matters less than the habit of setting that part aside first. Start small, but start.

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CHAPTER TWO

## Money and time — compound interest

They say Einstein called compound interest "the eighth wonder of the world." I don't know if Einstein ever had a piggy bank, but the principle is completely real, and it's the foundation of how real wealth gets built.

### Simple interest vs. compound interest

**Simple interest:** you earn interest only on your original capital. If you put $1,000 at 10% annually, you always earn $100 each year. Period, end of story.

**Compound interest:** you earn interest on your original capital PLUS the interest that has already accumulated. Each year the base for calculation grows, so the return grows too.

### $1,000 invested at 10% annually

| Year | Simple interest | Compound interest |
|---|---|---|
| 1 | $1,100 | $1,100 |

| | | |
|---|---|---|
| 3 | $1,300 | $1,331 |
| 5 | $1,500 | $1,611 |
| 10 | $2,000 | $2,594 |
| 20 | $3,000 | $6,727 |
| 30 | $4,000 | $17,449 |

By year 30, compound interest produced more than four times what simple interest did. That difference didn't come from working harder. It came from time, and from not touching what you'd already earned.

The "rule of 72" trick: divide 72 by your annual rate of return and you get, approximately, how many years it takes your money to double. At 8% annually → 72 ÷ 8 = 9 years to double. At 12% annually, just 6 years.

### The case of Nina and Tito, two monkeys from the same troop

Nina starts investing $200 a month at age 25, earning 8% annually. By age 65 she has close to $702,000. Tito waits until he's 35 to do exactly the same thing, at the same rate of return. By age 65 he has close to $305,000. Nina invested only $24,000 more in total than Tito (10 extra years × $200 × 12 months) — but her final result is double. Those 10 years of head start were worth an extra $373,000. That's the real power of time.

### How returns behave in real life

- Return is almost always expressed as an annual percentage.
- Not every year is the same: one year can be +15%, another -5%, another +20%.
- What truly matters is the average over many years, not one good or bad year.
- Reinvesting what you earn (not withdrawing it) is exactly what activates the compounding effect.

### Inflation: the termite that eats your idle money

If your money doesn't grow at least as fast as inflation, in practice you're losing purchasing power every year, even if the number in your account doesn't go down. If inflation is 6% and your savings earn 2%, your real money is shrinking.

Real return = Nominal return − Inflation. If your investment returned 11% and inflation was 6%, your real return was only 5%. Get used to always calculating the real number, not just the one that looks nice on paper.

**TODAY'S ACTION**

Use the rule of 72 to calculate how long it would take your money to double at a realistic rate (say, 8%). Write that number somewhere visible. It's your first reminder that time is already working for you, not "someday."

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CHAPTER THREE

## Types of investments for beginners

Not all investments look alike. Some are as simple as storing bananas in a safe warehouse. Others are as wild as jumping from branch to branch in the middle of a storm. As a beginner, you need to know what's out there and how well it fits where you're starting from.

### The main categories

| Type | What it is | Risk | Liquidity |
|---|---|---|---|

| | | | |
|---|---|---|---|
| Savings account | Money in the bank earning interest | Very low | High |
| Bonds / fixed income | Loan to a company or government | Low-medium | Medium |
| Index funds / ETFs | Basket of many stocks, automatic | Medium | High |
| Individual stocks | Stake in a single company | Medium-high | High |
| Real estate | Physical property | Medium | Low |
| Cryptocurrency | Decentralized digital assets | Very high | High |

### Index funds: the option I chose first

An index fund copies the behavior of a market index, like the S&P 500 (the 500 largest companies in the U.S.). Buying an index fund is like filling my backpack with a little piece of hundreds of different companies, instead of betting it all on just one.

- **Automatic diversification:** if one company falls, the hit is small.
- **Low costs:** they don't need anyone actively managing them.
- Historically the S&P 500 has returned close to 10% annually on average over the last 100 years.
- You don't need to be an analyst to get started with this.

Between 80% and 90% of active fund managers (the ones who charge a fee for "picking" investments) fail to beat a simple index fund's return over long periods. Choosing the index fund isn't the lazy option: it's the smart one.

### ETFs: the flexible version

ETFs (Exchange Traded Funds) work just like index funds, but are bought and sold like stocks, at any point during the trading day. They're more flexible and usually have even lower costs.

### Bonds: the calm part of the portfolio

A bond is, basically, lending money to a company or government. You get paid periodic interest, and at the end of the term they return your capital. They're safer than stocks, but they also pay less.

### High-yield accounts

These are very low-risk accounts or funds that pay more interest than a normal savings account. They're ideal for your emergency fund or for money you'll need soon — the equivalent of my backpack, always ready, never buried in an investment that takes a while to turn into cash.

### What should a beginner use?

1. Emergency fund in a high-yield account (3-6 months of expenses). 2. Index funds or global ETFs with automatic monthly contributions. 3. Bonds, if you want to reduce volatility. 4. Individual stocks or more complex assets, only once you have more experience under your arm.

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CHAPTER FOUR

## Risk and return — the same old scale

There's no such thing as risk-free investing. Anyone who tells you otherwise is either lying or selling you something. But risk isn't your enemy: it's a tool you learn to manage, like learning to properly judge a jump between two branches.

The rule that always holds: higher expected return means higher risk. If someone offers you a sky-high return with zero risk, run: that doesn't exist in the real world.

### Expected return vs. risk

| Investment type | Expected return | Risk |
|---|---|---|
| Savings account | 1-3% annually | Very low |
| Government bonds | 3-6% annually | Low |
| Index funds (S&P 500) | 7-10% historical annual | Medium |
| Individual stocks | Variable (-50% to +100%+) | Medium-high |
| Cryptocurrency | Highly variable (-80% to +1000%+) | Very high |

### Risks you need to recognize

**Market risk:** the value of your investments can fall due to outside factors: recession, political crisis, a pandemic. It can't be eliminated, but it is reduced with diversification and time.

**Liquidity risk:** can you turn your investment into cash when you need it? Stocks, easily. A house, not so fast. If you put money you'll need soon into something hard to sell, you're in trouble.

**Concentration risk:** putting all your bananas in one basket. If that basket falls, you fall with it. The solution, always, is to diversify.

**Emotional risk:** the most underestimated of all. It's when you make impulsive decisions out of fear or euphoria: selling when the market drops (exactly when you shouldn't) or buying when everything is rising (exactly when everything is more expensive).

My golden rule: only invest money you can afford not to touch for as long as your plan lasts. If you're going to need that money in 6 months, don't put it in stocks. If your horizon is long, market drops aren't your enemy: they're discounts.

### How to manage risk without being an expert

- Diversify: don't put everything into a single investment, company, or asset type.
- Define your horizon: when will you need that money? That decides how much risk you can take on.
- Invest only what you don't need in the short term.
- Use fixed, periodic contributions so you don't depend on "guessing" the perfect moment.
- Don't check your portfolio every day. Daily volatility is noise, not a signal.

**TODAY'S ACTION**

Write in one sentence when you'll need the money you plan to invest (in 2 years? in 20?). That single answer already tells you how much risk makes sense for you.

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CHAPTER FIVE

# How to start with little money

The biggest barrier for a beginner is never knowledge. It's the belief that you need a mountain of coins to get started. That belief is false, and in this chapter I'll prove it to you with numbers.

### How much do you actually need?

The honest answer: it depends on the vehicle, but in many cases you can start with $10, $50, or $100. What matters is the habit, not the starting amount. I started by saving whatever was left over from my weekly allowance — literally loose coins from my piggy bank.

Platforms with low minimums: ETFs and index funds on brokers like Fidelity, Schwab, or the platforms available in your country, from $1. Investing apps like Robinhood, eToro, or similar, from $0. Local funds: many let you start from $50-$100. What matters is opening the account today, even if you can only deposit $20.

### My favorite strategy: DCA

DCA stands for Dollar Cost Averaging. It means investing a fixed amount of money periodically (say, $100 every month), regardless of whether the market is up or down. When the price is low, you buy more units. When it's high, you buy fewer. Your average cost ends up favorable, without you having to guess anything.

### My piggy bank set to automatic

I invest $100 every month in an ETF. In January the price is $50 → I buy 2 units. In February it drops to $40 → I buy 2.5 units. In March it rises to $60 → I buy 1.67 units. By the end of the quarter I had invested $300 and ended up paying, on average, about $48.98 per unit — better than if I had put it all in during January at the highest price. And I didn't have to predict anything, just follow the plan.

### My investor-monkey budget

You don't need to earn a fortune to start. You need to redirect a small part of what you already earn:

| Monthly income | 5% to invest | 10% to invest | 15% to invest |
|---|---|---|---|
| $500 | $25/mo | $50/mo | $75/mo |
| $1,000 | $50/mo | $100/mo | $150/mo |
| $2,000 | $100/mo | $200/mo | $300/mo |
| $5,000 | $250/mo | $500/mo | $750/mo |

**TODAY'S ACTION**

Set up an automatic transfer to your investment account for the same day you receive your income. Don't decide it each month: automate it and forget about it. Money that never passes through your hand to spend, doesn't get spent. It's the same trick as not carrying loose change in my pocket when I walk past the fruit stand.

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CHAPTER SIX

## The most common stumbles

Knowing the mistakes most people make gives you a huge advantage. Not because you'll be perfect, but because you can dodge the most costly ones before stepping on them.

**Stumble 1 — Looking for the "perfect moment" to get in.** The market always looks expensive when it's rising, and terrifying when it's falling. The beginner waits for the ideal moment that never comes, and ends up never investing at all.

Use DCA (chapter 5). Investing periodically, regardless of the day's price, beats trying to guess the perfect moment.

**Stumble 2 — Investing money you need soon.** Putting rent money, debt payments, or any upcoming expense into investments. If the market drops right at that moment, you're forced to sell at a loss.

Never invest money you'll need in the next 12 months. Emergency fund first, investing second.

**Stumble 3 — Selling when the market drops.** The beginner watches their portfolio drop 20%, panics, and sells everything. Turns a temporary dip into a real loss. Then the market recovers, and they're no longer in it. This is the mistake that destroys the most wealth.

Drops are temporary in well-diversified markets. The S&P 500 has fallen more than 30% several times in its history, and every time it has recovered and gone on to new highs. Not selling is the best move for whoever stays in.

**Stumble 4 — Following "tips" and trends without understanding them.** A cousin invested in something and made 300%. Someone on social media shows incredible results with an unknown coin. The beginner jumps in without understanding anything.

If you can't explain in two sentences what it is and how it works, you're not ready to buy it yet. Understanding is your first layer of protection.

**Stumble 5 — Concentrating everything in one investment.** Putting all your savings into a single company, a single country, or a single type of asset. If that fails, there's no safety net underneath.

**Stumble 6 — Waiting to "learn more" before starting.** Infinite knowledge doesn't exist. There will always be more to learn. The cost of not starting is real: every year that passes without investing is a year of compound interest you never get back.

Start with the simplest and safest option (index fund + DCA) and learn as you invest. Real experience teaches faster than theory alone.

**TODAY'S ACTION**

Check which of these six stumbles tempts you the most. Just naming it already helps you see it coming next time.

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CHAPTER SEVEN

# Your first portfolio, step by step

Theory without action is useless. This chapter is 100% practical: how to build your first portfolio from scratch, in five steps.

**Step 1 — Build your emergency fund first.** Before investing you need a cushion — literally my backpack, always ready. Goal: 3 to 6 months of your total expenses, kept in a high-yield account, not in something risky. Its purpose is protection, not growth.

**Step 2 — Define how much you can invest each month.** Review your budget. How much is left after essential expenses and your emergency fund? That's your monthly investment capital, even if it's $50.

**Step 3 — Choose your entry vehicle.** For a beginner, the recommendation is clear: a global index fund or a global market ETF.

Concrete options: VT (Vanguard Total World Stock ETF) for exposure to the entire global market. VOO (Vanguard S&P 500 ETF) for the 500 largest companies in the U.S. IWDA (iShares Core MSCI World), widely used outside the U.S. Or an index fund from your local broker — check what's available in your country. Any single one of these options is enough to get started; you don't need ten different funds.

**Step 4 — Open an account and automate.** Choose a platform available in your country (check the fees), open the account, deposit your first amount even if small, and set up an automatic monthly contribution on your payday.

**Step 5 — Don't touch anything and let it grow.** With the automatic system set up, your main job is to not interfere. Don't check the portfolio every day. Don't panic during drops. Don't celebrate too much during rallies. Let time do its work.

### The portfolio I started with

80% in a global index fund (VT, VOO, IWDA, or the local equivalent) and 20% in a high-yield account, as a stabilizing piece. As you learn more, you can adjust this mix — but this starting point is solid for almost any beginner.

**TODAY'S ACTION**

Write the five steps in a list and mark which one you've already handled. The one that's missing is your next task, not "someday."

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CHAPTER EIGHT

## The mind of a beginner investor

The beginner's biggest enemy doesn't live in the market. It lives in their own head. Understanding how you react emotionally to money is just as important as understanding how money itself works.

Our brains evolved to respond to immediate threats, not to think in decades. That's why, when we see an investment drop 15%, the instinctive response is "run!" But in investing, running (selling) at that moment is usually exactly what you shouldn't do — it's like letting go of the branch right when you needed to hold on the most.

### Three dangerous biases for any beginner

**Loss aversion:** the pain of losing $100 feels emotionally twice as strong as the pleasure of gaining $100. That makes us overreact to drops and sell too soon.

**Confirmation bias:** we look for information that confirms what we already believed. If you already bought something, you tend to seek out only good news about it and ignore the bad.

**Herd effect:** we do what everyone else is doing. When everyone buys, we want to buy. When everyone sells, we want to sell. The problem is the herd almost always arrives late.

An automated system is your best defense. When you have clear instructions (invest $X every month, in Y) and follow them without a second thought, you take the emotional decision out of the equation. The system decides for you, during your clearest moments.

### How to stay calm during a drop

- Remember the history: markets have always fallen, and always recovered.
- Don't check your portfolio during crises. Information you can't act on only creates anxiety.
- Write down why you invested, before the crisis hits. Read it again when you feel the panic.
- Remember: you only lose real money when you sell. Before that, it's just a number on a screen.

**Momo says:**
*Warren Buffett said something that sums this all up: the market is a mechanism for transferring money from the impatient to the patient. Patience isn't standing still doing nothing — it's the strategy itself.*

**TODAY'S ACTION**

Write in one sentence why you're investing. Keep it somewhere you can easily find it the day the market drops and you feel the panic.

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CHAPTER NINE

# Tools and platforms to get started

In the digital age, getting started with investing has never been more accessible. Here's my backpack checklist before choosing where to open your account.

### What to look for in a platform

- **Regulation:** it should be regulated by your country's financial authority.
- **Fees:** some charge per trade, others for maintenance. Always compare.
- **Product offering:** that it has the ETFs or funds you're looking for.
- **Ease of use:** a clear interface, especially for beginners.
- **Minimum deposit:** that it fits the capital you actually have available.

### Types of accounts available

| Account type | What it's for | Main advantage |
|---|---|---|
| Standard investment account | Invest with no restrictions | Total flexibility |
| Retirement account | Save for the long term | Tax advantages |
| High-yield account | Emergency fund or short term | Security + liquidity |

### Apps and tracking tools

- **Portfolio trackers:** free apps like Personal Capital, Kubera, or simply a spreadsheet, to see your entire net worth in one place.
- **Compound interest calculators:** search online for "compound interest calculator" to project your growth with your own numbers.
- **Educational material:** personal finance channels on YouTube, Investopedia for quick definitions.

Scam signals I've learned to smell from a distance: platforms promising fixed monthly returns of 5% to 20%, systems that pay more if you recruit more investors, platforms with no visible regulatory registration, and pressure to "act now before the opportunity ends." All of these are classic scam signals. Always distrust guaranteed high returns: that doesn't exist in the real world.

**TODAY'S ACTION**

Research 2 or 3 platforms available in your country and compare their fees, their regulation, and whether they offer the ETFs you're looking for. You don't need to decide today, but you do need to research today.

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CHAPTER TEN

# My 60-day plan — and yours

Knowledge without action is useless. Here's a concrete, week-by-week plan to go from absolute beginner to active investor in 60 days. This was, almost exactly, the plan I followed myself.

### Week 1-2 — Diagnosis and foundation

- Calculate how much you actually earn and spend (your net monthly flow).

- Identify how much you can dedicate to saving and investing each month.
- Open or strengthen your emergency fund (goal: 3 months of expenses in a high-yield account).
- Review what index funds and ETFs are (go back to chapter 3 if you need to).

**Week 3-4 — Decide and set up**

- Research 2-3 investment platforms available in your country.
- Choose the one with the lowest fees, good reputation, and that allows ETFs or index funds.
- Open your investment account with the required minimum.
- Choose your first instrument: a global ETF (VT, VOO, IWDA, or a local equivalent).

**Week 5-6 — First real investment**

- Make your first purchase, even if it's $50 or $100. What matters is starting.
- Set up an automatic monthly contribution for your payday.
- Write down your goal somewhere visible: what are you investing for? In how many years?
- Tell someone you trust what you're doing. Having someone else know helps you stay committed.

**Week 7-8 — Learn and maintain**

- Read about diversification and why it truly matters.
- Check your portfolio ONLY ONCE and accept that it will fluctuate. That's normal.
- Start understanding how capital gains tax works in your country.
- Commit to keeping this system, with no major changes, for at least 12 months.

> **Momo says:**
> *Success in this plan isn't measured by an overnight number or a perfect strategy. It's measured by the habit. Commit to keep contributing, without interruptions, for at least one full year. That year will change your relationship with money more than any trick ever could.*

## What I want you to take from my backpack

1. Investing means putting your money to work today, so it produces more tomorrow.
2. Compound interest + time is the most powerful formula for building wealth.
3. For beginners, index funds and ETFs are the best entry point.
4. Higher return always means higher risk. It's managed, not avoided.
5. You can start with little. The habit weighs more than the starting amount.
6. Avoid the classic stumbles: panic, trying to time the market, concentration, and trends.

**7** Your first portfolio: global index fund + automation + time.

**8** Your biggest challenge is in your own head. Automated systems protect you from yourself.

**9** Use regulated platforms, with low fees, and stay away from any “guaranteed” return.

**10** Start today, even if it's with little. The cost of not starting is the most expensive of all.

## See you in Guide 2

This was the first guide in the Monkey Money Real Financial Education Series. Once you finish your first 60 days, I'll be waiting for you in the next guide in the series to keep building your portfolio.